

FARMOUT AGREEMENT

This Farmout Agreement is made December 5, 2024 between University Lands Heritage Trust ("Farmor") and Powder River Resources, LLC ("Farmee").

Recitals

Farmor owns the oil and gas leasehold covering Township 22 South, Range 26 East, N.M.P.M., Section 16: SW/4, Eddy County, New Mexico (160.00 acres), and Farmee desires to earn an assignment by drilling.

Earning Well

Farmee shall, at its sole cost and risk, commence the Earning Well on or before July 3, 2025 and drill it with due diligence to a depth sufficient to test the Mississippian, or to 10,500 feet, whichever is shallower (casing point).

Earned Acreage and Assignment

Upon completion of the Earning Well as a well capable of production, Farmor shall assign to Farmee the leasehold as to the spacing unit for the Earning Well, insofar as it covers from the surface to the base of the Mississippian.

Reserved Override and Back-In

Farmor reserves an overriding royalty of 3.5%, convertible at Farmor's election after Payout to a 25% working interest (a back-in), bearing its proportionate share of costs thereafter.

Continuous Drilling

Farmee may earn additional acreage by conducting continuous drilling operations with no more than 120 days between the completion of one well and the spudding of the next.

FARMOR: University Lands Heritage Trust

FARMEE: Powder River Resources, LLC